

Old Money rules, you would not likely have an extra penny to spend. (We'll get to methods we use in Chapter 5.)

So as to the question of "how much you need," we are tempted to say that it really doesn't matter. At least, not when you think about how well you could live. If you follow this logic, you're not likely to get anything that you can spend from your family money. You'll have to live off what you earn, like all the other working stiffs.

This might cause you to wonder why you bother. Instead, we encourage you to think about it in a different way. Think about how much you can put into the pot and what you can do with it that does not involve spending it. As we will see, as little as \$300,000 can be a worthwhile family asset. But the more the merrier. As your resources grow, so do the things you can do with them.

When we were driving through western Pennsylvania recently, we were struck by how cheap it would be to live there. Houses are very inexpensive, at least compared with what we're used to in the Baltimore-Washington metro area. You could have your own garden. A few goats, chickens, and rabbits. An old car. A wood stove. A library card and an Amazon account.

What more do you need? Once you were set up, it's hard to see what you could spend money on. There are no shops worth frequenting, no restaurants worth dining at, no nightclubs, no theatres—not much of anything.

Would this be a barren and boring life? Not at all! Gardening, building, reading, visiting with friends, watching movies on the home computer. What more could you want? And with such low fixed costs, you could easily splurge from time to time with a weekend in Manhattan or Miami.

What would be a reasonable budget for a life like that? Maybe \$1,000 per month. So let's take that as a point of departure. And let's ask, if you wanted enough family money to pay for a \$1,000-per-month lifestyle, how much would you need? We're going to ignore taxes and inflation for this part of the discussion, just to keep it simple (besides, at today's rates the numbers quickly become squishy and probably impossible). The answer: At 4 percent interest, you could earn \$12,000 per year on just \$300,000 of capital. Would you want to live on \$12,000 per year? It's up to you. But the